BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

September 16, 2025

- **Spot Indices Stabilize at Elevated Levels with Q4 in Sight –** The recent push in spot dry bulk indices that lifted the market to **relatively high levels** seem at first sight to have run its course. Nonetheless, we continue to observe a well-supported spot market as we approach the **seasonally strong fourth** quarter. While it is true that freight spot rates rarely remain static, we believe there is real potential for an even **higher move in rates**, which we view as outweighing the near-term risk of lower average rates. Consequently, we expect the seasonal push that has characterized this market recently to persist, with **spot rates moving higher for the remainder of September:** In six of the last seven years, Capesize spot rates have risen in the latter part of September, with an average increase of approximately 5,000. At present, **futures are pricing only a modest uptick**. This suggests a **favorable risk-reward** balance for maintaining a positive outlook on spot rates. While volatility is inherent in shipping markets, we anticipate that average rates over the next few months will exceed the current futures curve, particularly for the large Capesize class. Smaller vessel sizes may encounter headwinds due to weaker US grain exports this year, but we see **little reason for a steep correction** as long as Capesize rates remain firm.

- **Iron Ore Prices Flattish Despite Negative Chinese Data –** Despite **another weak economic report from China**, showing a continued decline in housing prices, weaker-than-expected industrial production and fixed asset investment, and a third consecutive monthly drop in steel output, iron ore prices remain above the $100/ton mark. Real assets such as metals have recently rallied on the back of increased risk appetite and inflation concerns, and iron ore appears to have participated in this broader trend. Nevertheless, the **fundamentals** surrounding iron ore remain **challenging**. China accounts for the vast majority of global iron ore demand, so without a meaningful improvement in China's steel fundamentals, upside for iron ore is limited. With **more supply** entering the market, **tightening** steel-production **capacity**, and the potential for a broader economic slowdown, we remain cautious on iron ore price development in both the near and medium term.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	**Negative**
Sentiment:	**Neutral**
Fundamentals:	**Neutral**
Breakwave Dry Futures Index:	**2068**
30D: 1.4%	↑
YTD: 103.9%	↑
YOY: 2.5%	↑
Baltic Dry Index (spot):	**2153**
30D: 5.3%	↑
YTD: 115.9%	↑
YOY: 13.9%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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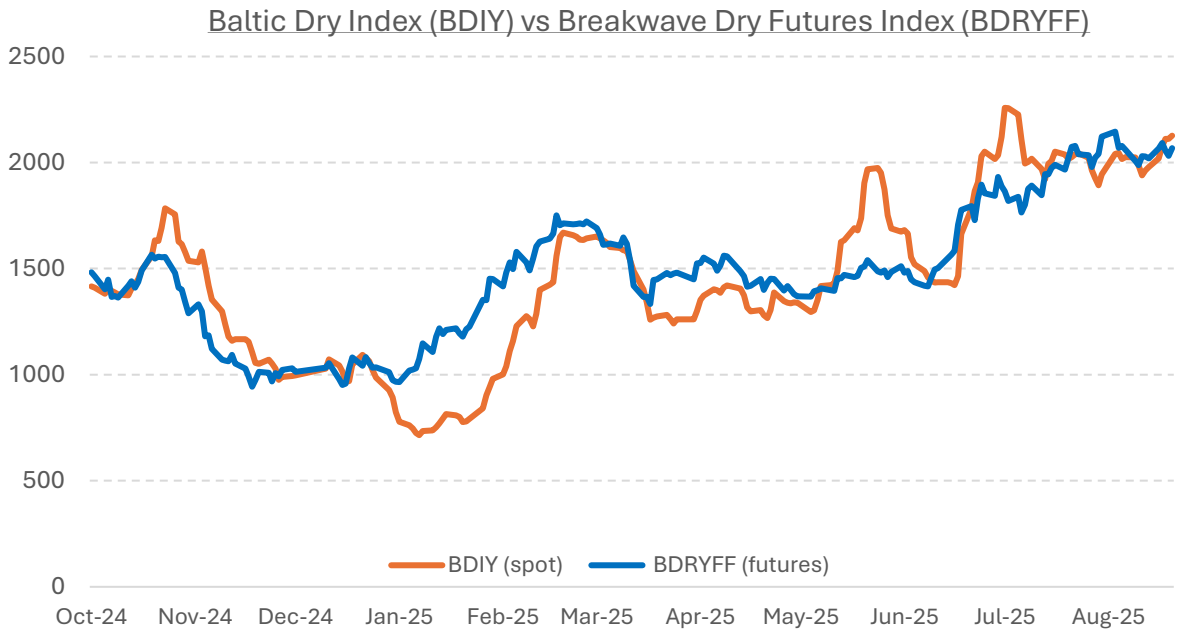

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	672mt	-2.8%
China Steel Inventories	4.7mt	22.6%
China Iron Ore Inventories	133mt	-11.9%
China Iron Ore Imports	802mt	-1.6%
China Coal Imports	300mt	-12.2%
China Soybean Imports	73mt	4.0%
Brazil Iron Ore Exports	227mt	3.7%
Australia Iron Ore Exports	523mt	-0.5%

Supply		
Dry Bulk Fleet	1056 mdwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,485	-19.2%
Capesize Spot Rates, Average	18,253	-23.2%
Panamax Spot rates, Average	10,908	-22.1%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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